

Financial Accounting Solved Papers

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(Past Paper 2023)

1. Discuss the relationship among the income statement, the statement of retained earnings.

and the balance sheet. 2. Do adjusting entries affect income statement accounts, balance sheet accounts, or both?

Explain. 3. How do accrued but unpaid expenses affect the balance sheet?

4. Explain the need for closing entries and describe the process by which temporary owners' equity accounts are closed at year-end.

5. Explain the need for subsidiary ledgers in accounting for merchandising activities.

6. Briefly contrast the accounting procedures in perpetual and periodic inventory systems.

1. Relationship Among the Income Statement, Statement of Retained Earnings, and Balance Sheet

Income Statement : This financial report details a company's revenues and expenses over a specific time period, such as a month, quarter, or year. The result is the net income or net loss, which shows whether the company made a profit or incurred a loss during that period.

Statement of Retained Earnings : This statement begins with the retained earnings balance from the previous period. It then adds the net income (or subtracts the net loss) from the income statement and subtracts any dividends paid to shareholders. The result is the ending retained earnings balance, which represents the accumulated profits that have been retained in the company rather than distributed to shareholders.

Balance Sheet : This financial report provides a snapshot of the company's financial position at a specific point in time. It lists the company's assets, liabilities, and equity. The ending retained earnings from the statement of retained earnings are included in the equity section of the balance sheet. This shows how the profits have been used, either retained in the business or distributed as dividends.

2. Impact of Adjusting Entries

Adjusting entries are crucial because they ensure that all revenues and expenses are recorded in the correct accounting period, adhering to the accrual basis of accounting.

Income Statement : Adjusting entries can affect various accounts, such as revenues earned but not yet billed (accrued revenues) or expenses incurred but not yet paid (accrued expenses). These adjustments ensure that the reported net income is accurate for the period.

Balance Sheet : Adjusting entries may affect assets and liabilities. For example, they can update the balances of prepaid expenses (reducing assets) and accrued expenses (increasing liabilities). This ensures that the balance sheet accurately reflects the company's financial position at the end of the period.

3. Effect of Accrued but Unpaid Expenses on the Balance Sheet

Accrued but unpaid expenses impact the balance sheet by increasing liabilities and decreasing equity.

Liabilities : These expenses are recorded as a liability under accounts payable or accrued expenses because the company owes this amount but has not yet paid it.

Equity : Since these expenses reduce net income, they also decrease retained earnings, which is part of the equity section of the balance sheet. This reflects the reduction in the company's net assets due to the incurred expenses.

4. Need for Closing Entries

Closing entries are necessary to prepare accounts for the next accounting period by zeroing out temporary accounts and transferring their balances to permanent accounts.

Process :

1. Close Revenue Accounts : Transfer the balances from all revenue accounts to an income summary account, a temporary holding account.

2. Close Expense Accounts : Transfer the balances from all expense accounts to the income summary account.

3. Close Income Summary Account : Transfer the balance from the income summary account (which now shows net income or net loss) to the retained earnings account.

4. Close Dividends : Transfer any dividends paid directly to the retained earnings account, reducing the balance.

This process ensures that the new accounting period starts with zero balances in the revenue and expense accounts, ready to accumulate new transactions.

5. Need for Subsidiary Ledgers

Subsidiary ledgers are detailed records that support and break down the information in a general ledger control account. They are particularly useful in managing large amounts of detailed financial data.

For merchandising activities:

Accounts Receivable Subsidiary Ledger : Keeps individual records for each customer, tracking sales, payments, and outstanding balances.

Accounts Payable Subsidiary Ledger : Keeps individual records for each supplier, tracking purchases, payments, and amounts owed.

Subsidiary ledgers ensure accuracy and detail, making it easier to manage and reconcile accounts while keeping the general ledger streamlined.

6. Perpetual vs. Periodic Inventory Systems

Perpetual Inventory System : This system continuously updates inventory records with every purchase and sale. It provides real-time data on inventory levels, cost of goods sold, and helps in better inventory management. Each transaction directly affects the inventory account and related cost accounts.

Periodic Inventory System : In this system, inventory records are updated only at the end of an accounting period after a physical count of inventory. The cost of goods sold is calculated by adding purchases during the period to the beginning inventory and subtracting the ending inventory. This method is simpler but less accurate in providing real-time inventory information and can lead to discrepancies that are only resolved at the end of the period.

(Past Paper Spring 2022)

1. In general terms, what are revenues and expenses? How are they related in the determination of an enterprise's net income or net loss?

2. What is the basic accounting equation? Briefly define the three primary elements in the equation. 3. Discuss the relationship among the income statement, the statement of retained earnings.

and the balance sheet. 4. Do adjusting entries affect income statement accounts, balance sheet accounts, or both? Explain.

5. Briefly explain the concept of materiality. If an item is not material, how is the item treated for financial reporting purposes?

6. Discuss the relationship among the income statement, the statement of retained earnings, and the balance sheet.

1. revenues and expenses

Revenues : These are the amounts a business earns from its regular activities, such as selling goods or providing services. For instance, if you own a bakery, the money you receive from selling bread and pastries constitutes your revenue. Revenues are crucial as they indicate how much the business is bringing in from its core operations.

Expenses : These are the costs that a business incurs to generate revenues. In the bakery example, expenses would include the cost of flour, sugar, employee wages, and utility bills. Expenses are necessary for the production and sale of goods or services.

Relation to Net Income or Net Loss : Net income or net loss is determined by subtracting total expenses from total revenues. If total revenues exceed total expenses, the business has a net income (profit). Conversely, if total expenses exceed total revenues, the business has a net loss. This calculation helps stakeholders understand the company's financial performance over a specific period.

2. Basic Accounting Equation

The basic accounting equation is: **Assets = Liabilities + Equity**

Assets : These are resources owned by the business that are expected to bring future economic benefits. Examples include cash, inventory, buildings, and equipment. Assets are what the business uses to operate and generate income.

Liabilities : These are obligations the business owes to others, representing debts and other financial responsibilities. Examples include loans, accounts payable, and mortgages. Liabilities must be settled over time through the transfer of money, goods, or services.

Equity : This represents the owners' claim on the assets of the business after all liabilities have been paid off. It is calculated as assets minus liabilities. Equity includes contributions by the owners (capital) and accumulated profits retained in the business (retained earnings).

3. Relationship Among the Income Statement, Statement of Retained Earnings, and Balance Sheet

Income Statement : This report shows a company's revenues, expenses, and resulting net income or net loss over a specific period, such as a month, quarter, or year. It provides insights into the company's operational performance and profitability.

Statement of Retained Earnings : This statement begins with the retained earnings balance from the previous period. It adds the net income (or subtracts the net loss) reported on the income statement and subtracts any dividends paid to shareholders. The result is the ending retained earnings, representing the cumulative profits retained in the business.

Balance Sheet : This report provides a snapshot of the company's financial position at a specific point in time, showing its assets, liabilities, and equity. The ending retained earnings from the statement of retained earnings are included in the equity section of the balance

sheet, linking the performance (income statement) with the financial position (balance sheet).

4. Impact of Adjusting Entries

Adjusting entries affect both the income statement and the balance sheet and are made to ensure that all financial transactions are recorded in the correct accounting period.

Income Statement : Adjusting entries can alter the reported revenues and expenses, which in turn affects the net income. For example, if a company has earned revenue but not yet billed the customer, an adjusting entry records the revenue in the correct period.

Balance Sheet : These entries adjust asset and liability accounts to reflect the true values at the end of the period. For instance, if a company has used some of its prepaid rent, an adjusting entry will reduce the prepaid rent (asset) and recognize rent expense.

5. Concept of Materiality

Materiality : This concept refers to the significance of financial information to users. Information is considered material if its omission or misstatement could influence the economic decisions of users taken based on the financial statements.

Immaterial Items : If an item is not material (meaning it would not affect decision-making), it can be treated in a simplified manner for financial reporting. These items can be aggregated with other similar items or not detailed separately. For example, a small expense like office supplies might be grouped with other miscellaneous expenses rather than listed individually.

6. Relationship Among the Income Statement, Statement of Retained Earnings, and Balance Sheet (repeated for emphasis)

Income Statement : Provides a detailed look at revenues and expenses over a specific period, leading to the calculation of net income or net loss. This shows how well the company performed operationally.

Statement of Retained Earnings : This statement connects the income statement and the balance sheet by showing how net income from the income statement is retained or distributed. It starts with the prior period's retained earnings, adds net income, subtracts dividends, and ends with the current period's retained earnings.

Balance Sheet : Shows the financial position of the company at a specific point in time. It includes assets, liabilities, and equity. The ending retained earnings from the statement of retained earnings are included in the equity section, illustrating how past profits have been used within the business. This integration ensures that the company's performance is accurately reflected in its financial position.

I. Working capital

II. Financial Assets

III. Cash book

IV. Materiality principle

V. Amortization

VI. Operating Cycle

VII. Inventory Subsidiary Ledger

VIII. Revenue Expenditures

IX. Debt-equity ratio

X. Straight line method of depreciation

I. Working Capital

Working Capital : This is the difference between a company's current assets and current liabilities. It represents the funds available to meet short-term obligations and operate the business on a day-to-day basis. **For example**, if a company has \$20,000 in cash, \$30,000 in receivables, and \$50,000 in inventory, and it owes \$40,000 in short-term loans and \$30,000 in payables, the working capital is \$30,000 (\$100,000 in current assets - \$70,000 in current liabilities). Positive working capital means the company can cover its short-term debts and continue its operations smoothly.

II. Financial Assets

Financial Assets : These are assets that represent a claim to future cash flows or ownership of an entity. They include things like stocks, bonds, bank deposits, and receivables. **For example**, owning shares in a company gives you a financial asset because you have an ownership interest and the right to future dividends. Similarly, holding a bond means you have a claim to future interest payments and the return of the principal amount.

III. Cash Book

Cash Book : This is a detailed record of all cash transactions, including receipts and payments, as well as bank deposits and withdrawals. It functions as both a journal and a ledger for cash transactions. **For instance**, when you receive \$500 from a customer, you record it in the cash book under cash receipts. When you pay \$200 for supplies, you record it under cash payments. This helps keep track of all cash inflows and outflows and ensures accurate cash management.

IV. Materiality Principle

Materiality Principle : This accounting principle states that all significant information that could influence the decisions of users of financial statements should be reported. An item is considered material if its omission or misstatement could affect the economic decisions of users. **For example**, a \$1,000 error in a small business's financial statements might be material, whereas the same error in a large corporation might not be. If an item is immaterial, it can be aggregated with other similar items or omitted for simplicity without misleading the users.

V. Amortization

Amortization : This is the process of spreading the cost of an intangible asset over its useful life. **For example**, if you purchase a patent for \$10,000 and it has a useful life of 10 years, you would amortize the cost by recording \$1,000 as an expense each year. This method ensures that the expense is matched with the revenue generated by the asset over time, providing a more accurate picture of financial performance.

VI. Operating Cycle

Operating Cycle : This is the period it takes for a company to purchase inventory, sell the products, and collect cash from customers. It includes the time taken to acquire raw materials, produce goods, sell them, and receive payment. **For example**, a furniture manufacturer might take 30 days to buy wood, 15 days to make furniture, 10 days to sell it, and 45 days to collect payment, resulting in a 100-day operating cycle. A shorter operating cycle means quicker cash turnover and better liquidity.

VII. Inventory Subsidiary Ledger

Inventory Subsidiary Ledger : This ledger contains detailed information about each item of inventory, including quantities, costs, and sales. It supports the inventory control account in the general ledger by providing specific data on individual inventory items. **For example**, in a retail store, the inventory subsidiary ledger would have separate entries for each product, such as different brands of cereal, showing how much is in stock, the purchase cost, and the sales price. This helps in managing inventory efficiently and keeping track of stock levels.

VIII. Revenue Expenditures

Revenue Expenditures : These are costs that are incurred for the day-to-day running of the business and are fully expensed in the period they occur. They do not provide long-term benefits but are necessary for maintaining operations. **Examples include** wages, rent, utilities, and office supplies. These expenditures are recorded on the income statement and reduce the net income of the period in which they are incurred.

IX. Debt-Equity Ratio

Debt-Equity Ratio : This ratio measures the financial leverage of a company by comparing its total liabilities to its shareholders' equity. It is calculated by dividing total debt by total equity. **For example**, if a company has \$200,000 in total debt and \$400,000 in total equity, the debt-equity ratio is 0.5. This ratio indicates how much debt is used to finance the company's assets relative to equity. A higher ratio suggests more debt and higher financial risk, while a lower ratio indicates less debt and lower risk.

X. Straight Line Method of Depreciation

Straight Line Method of Depreciation : This method allocates the cost of a tangible asset evenly over its useful life. **For example**, if you buy a machine for \$10,000 and expect it to last 10 years, you would depreciate \$1,000 each year ($\$10,000 \div 10 \text{ years}$). This method is simple and easy to apply, ensuring that the same amount of depreciation expense is recorded each year. It helps in matching the cost of the asset with the revenues it generates over its useful life, providing a consistent and straightforward way to expense the asset.

(Past Paper 2019)

I. What is meant by Lower-of-cost-or-market (LCM)?

II. Define Intangible Assets.

III. Define Residual value.

IV. What is Net realizable value?

V. Define Marketable securities.

VI. What is meant by Aging the accounts receivable?

VII. Define Straight-line depreciation.

VIII. Define Bank reconciliation.

IX. Define Amortization.

X. Define Periodic inventory system.

I. What is meant by Lower-of-cost-or-market (LCM)?

Lower-of-cost-or-market (LCM) : This is an accounting method used to value inventory at the lower of its original cost or its current market value. For example, if a retailer buys shoes for \$50 each, but due to a decline in demand, the market price drops to \$40, the inventory should be valued at \$40 per pair. This principle ensures that inventory is not overstated on

financial statements, reflecting potential losses if the market value falls below the purchase cost.

II. Define Intangible Assets

Intangible Assets : These are non-physical assets that still hold significant value for a business. **Examples include** patents, trademarks, copyrights, and goodwill. **For instance**, a patent gives a company exclusive rights to produce a particular product, which can be a significant competitive advantage even though the patent itself isn't a physical object. Intangible assets are essential for businesses because they can contribute to long-term revenue generation and brand strength.

III. Define Residual Value

Residual Value : This is the estimated value of an asset at the end of its useful life. It's the amount a company expects to receive from selling the asset after it has been fully depreciated. For example, if a delivery van is purchased for \$20,000 and is expected to be worth \$2,000 after five years of use, the \$2,000 is the residual value. This value is used in calculating depreciation expenses, ensuring that the cost of the asset is allocated over its useful life.

IV. What is Net Realizable Value?

Net Realizable Value : This is the estimated selling price of an asset minus any costs associated with its sale. **For example**, if a company has inventory that can be sold for \$1,200 but expects to incur \$200 in shipping and selling costs, the net realizable value is \$1,000. This value is important for accurately reporting the value of assets on the balance sheet and ensuring that inventory is not overvalued.

V. Define Marketable Securities

Marketable Securities : These are liquid financial instruments that can be quickly converted into cash with minimal impact on their price. **Examples include** stocks, bonds, and treasury bills. They are considered liquid because they can be easily sold in financial markets. For businesses, marketable securities are a way to invest excess cash temporarily while maintaining liquidity to meet short-term obligations.

VI. What is meant by Aging the Accounts Receivable?

Aging the Accounts Receivable : This is a method used to analyze and categorize receivables based on the length of time they have been outstanding. Receivables are grouped into different age categories such as 0-30 days, 31-60 days, 61-90 days, and over 90 days. **For example**, if a customer's invoice has been unpaid for 45 days, it would fall into the 31-60 days category. This helps businesses manage credit risk by identifying overdue accounts and determining the likelihood of collecting these receivables.

VII. Define Straight-line Depreciation

Straight-line Depreciation : This is a method of allocating the cost of a tangible asset evenly over its useful life. For example, if a piece of machinery is purchased for \$10,000 and has a useful life of 10 years, the annual depreciation expense would be \$1,000 ($\$10,000 \div 10$ years). This method is straightforward and ensures that the same amount of depreciation is charged each year, providing a consistent expense that matches the asset's usage over time.

VIII. Define Bank Reconciliation

Bank Reconciliation : This is the process of comparing a company's internal records of cash transactions with the bank's records to ensure they match. Discrepancies, such as outstanding checks or bank fees, are identified and adjusted. **For example**, if the company's records show a balance of \$5,000 but the bank statement shows \$4,800, a bank reconciliation would involve identifying the \$200 difference, which might be due to a check that hasn't cleared yet or bank charges. Regular bank reconciliations help ensure the accuracy of cash records and prevent errors or fraud.

IX. Define Amortization

Amortization : This is the process of spreading the cost of an intangible asset over its useful life. **For example**, if a company purchases a patent for \$10,000 and expects it to be useful for 10 years, it would amortize the cost by recording \$1,000 as an expense each year. This systematic allocation helps match the cost of the intangible asset with the revenues it generates, providing a more accurate picture of the company's financial performance over time.

X. Define Periodic Inventory System

Periodic Inventory System : This is a method of inventory management where inventory levels are updated at specific intervals, such as monthly, quarterly, or annually, rather than continuously. Under this system, the cost of goods sold is calculated at the end of the period by taking the beginning inventory, adding purchases, and subtracting the ending inventory. **For example**, if a store starts with \$5,000 in inventory, purchases \$10,000 more during the period, and ends with \$3,000 in inventory, the cost of goods sold would be \$12,000. This method is simpler and less costly to implement than a perpetual inventory system, but it provides less timely information about inventory levels.

(Past Paper 2018)

I What is meant by JIT Inventory Systems?

II Define Plant Assets

III Define Stockholders

IV What is Conservatism Concept?

V Define Depletion.

VI What is meant by Operating Cycle?

VII Define Factoring.

VII Define Capital Expenditures,

IX Define Net Profit Margin and give its Formula.

X Define Inventory Turnover Rate.

I. What is meant by JIT Inventory Systems?

JIT (Just-In-Time) Inventory Systems : This is an inventory management approach where materials and products are ordered and received only as they are needed in the production process, reducing storage costs. **For example**, a car manufacturer using JIT would receive parts like engines and tires just before they are needed on the assembly line, minimizing the need for large inventory storage.

II. Define Plant Assets

Plant Assets : These are long-term, tangible assets used in the operation of a business. They include buildings, machinery, equipment, and vehicles. **For example**, a bakery's ovens, delivery trucks, and the building it operates in are all considered plant assets. These assets are used over several years and are subject to depreciation.

III. Define Stockholders

Stockholders : These are individuals or entities that own shares in a corporation. They are also known as shareholders. **For example**, if you buy stock in Apple, you become a stockholder and own a small part of the company. Stockholders have the potential to receive dividends and can vote on important company decisions.

IV. What is Conservatism Concept?

Conservatism Concept : This accounting principle advises that uncertainty and risks should be taken into account, and expenses and liabilities should be recognized as soon as possible, but revenues and assets only when they are assured. **For example**, if a company faces a potential lawsuit, it should record an estimated expense even if the outcome is uncertain, but it should only record revenue when it is reasonably certain to be received.

V. Define Depletion

Depletion : This is the process of allocating the cost of natural resources over time as they are extracted and used. **For example**, an oil company will deplete the cost of an oil well over

the number of barrels of oil it produces. This method ensures that the expense is matched with the revenue generated from the resource.

VI. What is meant by Operating Cycle?

Operating Cycle : This is the time it takes for a company to buy inventory, sell products, and collect cash from customers. It includes all steps from purchasing raw materials to selling finished goods and receiving payment. **For example**, a toy manufacturer buys plastic, makes toys, sells them to retailers, and then waits for payment, all of which together form the operating cycle.

VII. Define Factoring

Factoring : This is a financial transaction where a business sells its accounts receivable (invoices) to a third party (a factor) at a discount. This provides immediate cash flow to the business. **For example**, if a company is owed \$10,000 in invoices, it might sell these invoices to a factor for \$9,000 to get quick cash rather than waiting for customers to pay.

VIII. Define Capital Expenditures

Capital Expenditures : These are funds used by a business to acquire, upgrade, and maintain physical assets such as property, industrial buildings, or equipment. **For example**, buying a new delivery truck or upgrading a manufacturing plant would be considered capital expenditures. These investments are typically long-term and provide benefits over several years.

IX. Define Net Profit Margin and give its Formula

Net Profit Margin : This is a measure of profitability that shows how much of each dollar of revenue is left as profit after all expenses have been deducted. The formula for net profit margin is:

$$\text{Net Profit Margin} = (\text{Net Profit} / \text{Revenue}) \times 100$$

For example, if a company has a net profit of \$20,000 and total revenue of \$100,000, the net profit margin would be 20%.

X. Define Inventory Turnover Rate

Inventory Turnover Rate : This is a measure of how many times a company's inventory is sold and replaced over a period. It indicates the efficiency of inventory management. The formula for inventory turnover rate is:

$$\text{Inventory Turnover Rate} = \text{Cost of Goods Sold (COGS)} / \text{Average Inventory}$$

For example, if a company has a cost of goods sold of \$500,000 and average inventory of \$100,000, the inventory turnover rate would be 5, meaning the company sold and replaced its inventory five times during the period.

(Past Paper 2017)

I. What is a Bank Reconciliation Statement?

II. Define Financial Assets.

III. Define Stakeholders.

IV. Differentiate between a Perpetual and a Periodic Inventory System.

V. Define Depreciation.

VI. What is meant by Consistency Principle?

VII. Define Inventory Turnover Rate.

VIII. Differentiate between Capital Expenditures and Revenue Expenditures.

IX. Define Gross Profit Margin and give its Formula.

X. Define Retained Earnings.

I. What is a Bank Reconciliation Statement?

Bank Reconciliation Statement : This is a document that compares the company's cash records with the bank statement to ensure they match. It identifies any differences, such as outstanding checks or bank fees, and adjusts the records accordingly. **For example**, if your records show a balance of \$5,000 but the bank statement shows \$4,800, the reconciliation helps find the \$200 difference and correct it.

II. Define Financial Assets

Financial Assets : These are assets that represent a claim to future cash flows or ownership of another entity. **Examples include** stocks, bonds, bank deposits, and accounts receivable. **For instance**, owning shares in a company gives you a financial asset because you have an ownership interest and the right to future dividends.

III. Define Stakeholders

Stakeholders : These are individuals or groups that have an interest in the performance and activities of a business. They include employees, customers, suppliers, investors, and the community. **For example**, employees are stakeholders because their jobs and incomes depend on the company's success.

IV. Differentiate between a Perpetual and a Periodic Inventory System

Perpetual Inventory System : This system continuously updates inventory records with each purchase or sale. **For example**, every time a product is sold, the inventory account is immediately adjusted.

Periodic Inventory System : This system updates inventory records at specific intervals, such as monthly or annually. **For example**, inventory counts are done at the end of the month, and adjustments are made based on these counts.

The perpetual system provides real-time inventory levels, while the periodic system is simpler but provides less timely information.

V. Define Depreciation

Depreciation : This is the process of allocating the cost of a tangible asset over its useful life. **For example**, if a piece of equipment costs \$10,000 and has a useful life of 10 years, you would depreciate \$1,000 each year. This method ensures that the expense is matched with the revenue the asset helps generate.

VI. What is meant by Consistency Principle?

Consistency Principle : This accounting principle states that once a company adopts an accounting method, it should continue using it in future periods unless a change is justified. **For example**, if a business starts using the straight-line method for depreciation, it should continue to use this method in subsequent years. This principle ensures comparability of financial statements over time.

VII. Define Inventory Turnover Rate

Inventory Turnover Rate : This is a measure of how many times a company's inventory is sold and replaced over a period. It indicates how efficiently a company manages its inventory. The formula for inventory turnover rate is:

$$\text{Inventory Turnover Rate} = \text{Cost of Goods Sold (COGS)} / \text{Average Inventory}$$

For example, if a company has a COGS of \$500,000 and average inventory of \$100,000, the inventory turnover rate would be 5, meaning the company sold and replaced its inventory five times during the period.

VIII. Differentiate between Capital Expenditures and Revenue Expenditures

Capital Expenditures : These are funds used to acquire or upgrade long-term assets like property, buildings, or equipment. **For example**, buying a new delivery truck for your business is a capital expenditure because it provides benefits over several years.

Revenue Expenditures : These are costs that are incurred for day-to-day operations and are fully expensed in the period they occur. **Examples include** wages, rent, and office

supplies. They are necessary for maintaining operations but do not provide long-term benefits.

IX. Define Gross Profit Margin and give its Formula

Gross Profit Margin : This is a measure of profitability that shows the percentage of revenue that exceeds the cost of goods sold (COGS). It indicates how efficiently a company is producing its goods. The formula for gross profit margin is:

$$\text{Gross Profit Margin} = (\text{Gross Profit} / \text{Revenue}) \times 100$$

For example, if a company has a gross profit of \$40,000 and revenue of \$100,000, the gross profit margin would be 40%.

X. Define Retained Earnings

Retained Earnings : These are the cumulative profits that a company has kept in the business after paying out dividends to shareholders. They are reinvested in the company for growth and development. **For example**, if a company earns \$10,000 in profit and pays out \$4,000 in dividends, the remaining \$6,000 is added to retained earnings. This amount is used to fund future operations or investments.

(Past Paper 2015)

i. Define operating cycle of a merchandising company.

ii. Define financial assets with example.

iii. Write down the name of any three liquidity ratios.

iv. Differentiate between LIFO and FIFO.

V. Differentiate between journal and journalizing.

vi. Define Cost Principle.

vii. Define Bank Reconciliation Statement.

viii. Define working capital and its formula.

ix. Define Periodic Inventory system.

x. Define Retained earnings.

I. Define Operating Cycle of a Merchandising Company

Operating Cycle of a Merchandising Company : This is the time it takes for a company to buy inventory, sell it to customers, and collect the cash from the sales. It starts when the company purchases goods and ends when it receives payment from customers. **For example**, a clothing store buys shirts, sells them to customers, and waits for payment, completing its operating cycle.

II. Define Financial Assets with Example

Financial Assets : These are assets that represent a claim to future cash flows or ownership of another entity. **Examples include** stocks, bonds, and bank deposits. **For instance**, if you buy shares in a company like Apple, those shares are financial assets because they can generate future income through dividends or sale.

III. Write Down the Name of Any Three Liquidity Ratios

Three Liquidity Ratios :

- 1. Current Ratio** : Measures the ability to pay short-term obligations with current assets.
- 2. Quick Ratio** : Similar to the current ratio but excludes inventory from current assets.
- 3. Cash Ratio** : Measures the ability to pay short-term obligations with cash and cash equivalents.

IV. Differentiate Between LIFO and FIFO

LIFO (Last In, First Out) : This inventory method assumes that the last items purchased are the first to be sold. **For example**, if you buy three batches of eggs on different days, the eggs bought last are sold first.

FIFO (First In, First Out) : This method assumes that the first items purchased are the first to be sold. **Using the same egg example**, the eggs bought first are sold first.

LIFO can lead to higher cost of goods sold and lower profits during inflation, while FIFO typically results in lower cost of goods sold and higher profits.

V. Differentiate Between Journal and Journalizing

Journal : This is a record where all business transactions are initially recorded in chronological order. It's often referred to as the book of original entry.

Journalizing : This is the process of recording transactions in the journal. **For example**, when a company makes a sale, the accountant records the details of the sale in the journal, a process known as journalizing.

VI. Define Cost Principle

Cost Principle : This accounting principle states that assets should be recorded and reported at their original purchase cost. **For example**, if a company buys a machine for \$10,000, it should be recorded at that cost, not its current market value.

VII. Define Bank Reconciliation Statement

Bank Reconciliation Statement : This is a document that compares the company's internal cash records with the bank statement to ensure they match. It identifies and explains any discrepancies, such as outstanding checks or bank fees, and adjusts the records accordingly. **For example**, if your records show a balance of \$5,000 but the bank statement shows \$4,800, the reconciliation helps find the \$200 difference and correct it.

VIII. Define Working Capital and Its Formula

Working Capital : This is the difference between a company's current assets and current liabilities. It measures a company's short-term financial health and ability to cover its short-term obligations. The formula for working capital is:

$$\text{Working Capital} = \text{Current Assets} - \text{Current Liabilities}$$

For example, if a company has \$50,000 in current assets and \$30,000 in current liabilities, its working capital is \$20,000.

IX. Define Periodic Inventory System

Periodic Inventory System : This is a method of inventory management where inventory levels are updated at specific intervals, such as monthly or annually, rather than continuously. At the end of each period, the cost of goods sold is calculated by taking the beginning inventory, adding purchases, and subtracting the ending inventory. This method is simpler but provides less timely information compared to a perpetual inventory system.

X. Define Retained Earnings

Retained Earnings : These are the cumulative profits that a company has kept in the business after paying out dividends to shareholders. They are reinvested in the company for growth and development. **For example**, if a company earns \$10,000 in profit and pays out \$4,000 in dividends, the remaining \$6,000 is added to retained earnings. This amount is used to fund future operations or investments.